

CHURN PREDICTION & RETENTION STRATEGY

From Model to Action



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WHY CUSTOMERS LEAVE?

16.8% of customers churn, but risk is highly concentrated in specific segments

Early Lifecycle Risk

41.9% churn rate among customers in their first 3 months. Customers leave before becoming loyal.
→ strengthen onboarding and early engagement

Complaint Filed

3× higher churn rate than non-complainers. **66.1%** churn among new customers who complain.
→ trigger service recovery within hours

Product Category Effect

Certain product categories show significantly higher churn risk. Customers often make a single purchase and never return.
→ encourage cross-category purchases after the first order

WE CAN IDENTIFY AT-RISK CUSTOMERS BEFORE THEY LEAVE

By focusing on the top 20% highest-risk customers, retention campaigns can **reach 98.9% of all potential churners**.

Early Detection At-risk customers are identified before churn occurs.	Focused Action Retention efforts focus on the highest-risk customers.	Selected Model XGBoost achieved the highest predictive performance.
Enables proactive intervention.	Smaller campaigns, higher impact.	183 of 190 churners detected.



Model	Churners caught	False alarms
Logistic Regression	159 / 190	189
Random Forest	161 / 190	72
XGBoost (tuned)	183 / 190	7



The Retention Strategy

Three risk drivers. Three interventions. Zero generic campaigns.

	EARLY LIFECYCLE	COMPLAINT RECOVERY	PRODUCT CATEGORY ACTIVATION
WHO	All customers, 0–3 months	Any customer who filed a complaint	Mobile Phone buyers
WHEN	Day 1 → Day 90	Within 2 hours of complaint	Day 3–7 after purchase
HOW	Guided onboarding, milestone emails	Direct call + resolution follow-up	Cross-category recommendations
MEASURE	90-day retention rate	Churn rate after complaint	Cross-category purchase rate